

Understanding

DIGITAL

Marketing

Marketing strategies for
engaging the digital generation

DAMIAN RYAN
& CALVIN JONES

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Preface: Welcome to a brave new world

The world of digital media is changing at a phenomenal pace. Its constantly evolving technologies, and the way people are using them, are transforming not just how we access our information, but how we interact and communicate with one another on a global scale. It's also changing the way we choose and buy our products and services.

People are embracing digital technology to communicate in ways that would have been inconceivable just a few short years ago. Digital technologies are no longer the preserve of tech-savvy early adopters, and today ordinary people are integrating them seamlessly into their everyday lives. From SMS updates on their favourite sports teams, to a free video call with relatives on the other side of the globe, to collaborative online gaming and much, much more: ordinary people – your customers – are starting to use digital media without giving it a second thought.

The global online population was around 1.3 billion at the end of 2007. Projections suggest that figure will hit 1.8 billion by 2010. In the developed world internet access is becoming practically ubiquitous, and the widespread availability of always-on broadband connections means that people are now going online daily to do everything from checking their bank statement, to shopping for their groceries, to playing games.

What makes this digital revolution so exciting is that it's happening right now. We're living through it, and we have a unique opportunity to jump in and be part of this historical transition.

In the pages that follow we'll take you on a journey into the world of digital marketing. We'll show you how it all started, how it got to where it is today, and where thought leaders in the industry believe it's heading

in the future. Most importantly of all we'll show you – in a practical, no-nonsense way – how you can harness the burgeoning power of digital media to drive your business to the crest of this digital marketing wave, and how to keep it there.

This book will:

- help you and your business to choose online advertising and marketing channels that will get your ideas, products and services to a massive and ever-expanding market;
- give you that elusive competitive edge that will keep you ahead of the pack;
- future-proof your business by helping you to understand the origins of digital marketing and the trends that are shaping its future;
- give you a concept of the scale of the online marketplace, the unfolding opportunities and the digital service providers who will help your business to capitalize on them;
- provide practical, real-world examples of digital marketing successes – including leading brands that have become household names in a relatively short space of time;
- offer insight through interviews, analysis and contributions from digital marketing experts;
- ultimately, give you the tools you need to harness the power of the internet to take your business wherever you want it to go.

We set out to unravel the mysteries of digital marketing by taking you on a journey. As we travel into this digital world we'll reveal how leading marketers in sectors as diverse as travel, retail, gambling and adult entertainment have stumbled on incredibly effective techniques to turn people on to doing business online, reaping literally millions as a result. We'll show you how to apply their experience to transform your own digital enterprise.

Whether you are looking to start up your own home-based internet business, work for a large multinational or are anywhere in between, if you want to connect with your customers today and into the future, you're going to need digital channels as part of your marketing mix. The internet has become the medium of choice for a generation of consumers: the first generation to have grown up taking instant access to digital information for granted. This generation integrates digital media into every facet of its daily lives, in ways we could never have conceived of in even the recent past. Today this generation of digital natives is entering the workplace and is spending like never before. This is the mass market of tomorrow, and for businesspeople and marketers the challenge is to become fluent in this new digital language so that we can talk effectively to our target audience.

Television froze a generation of consumers to the couch for years; now digital media are engaging consumers and customers in ways that the early architects of the technology could never have dreamed of.

When the Apple Mac came along it opened up the art of publishing, and as a result print media boomed. Today, the same thing is happening online, through the phenomenon of user-generated content (UGC) and social networking: ordinary people are becoming the directors, producers, editors and distributors of their own media-rich content – the content they, their friends and the world want to see. But that's only the start.

Prime-time television audiences are falling, print media are coming under increasing pressure to address dropping circulation figures and – while the old school sits on the sidelines, bloated and slowly atrophying – digital media have transformed themselves into a finely tuned engine delivering more power, opportunity and control than any other form of media could dream of. In other words – it's time to follow the smart money!

Over the last 15 years I've had the absolute pleasure and pain of working at the coalface of the burgeoning and insistent new media. I've met lots of smart people and spoken to literally hundreds of organizations with massively diverse and challenging agendas. The one common factor was a hunger for data and knowledge: anything that would give their particular brand that elusive competitive edge.

When putting this book together we wanted to make it as informative and practical as possible. Each chapter begins with a summary of its content, so you can easily browse through the chapters and select the one that addresses the topic you're interested in. We've purposely left out the jargon – and where technical terms have been absolutely necessary we supply a clear definition in the text, backed up by a complete glossary at the back of the book that explains all of the terms we use in plain English. The result, we hope, is a book that is clear, informative and entertaining, even for the complete digital novice.

In your hands you hold what independent marketers around the world have been crying out for: a book that shows you how to use the internet successfully to sell your products or services. We begin with the origins of the medium and take you through the various disciplines of digital marketing campaigns. We travel around the world collecting facts, figures, comment and opinion from acknowledged experts, brands and organizations in different fields, getting them to spill the beans on how the net delivered the goods for them.

We'll look in detail at areas like search marketing and affiliate marketing, we'll delve into e-mail marketing and creative online executions and look at various digital marketing strategies, some moral, some less so.

In Amsterdam last year, I was granted a late-night audience with some of the best ‘Black Hat’ marketers in the world. These people, who will remain nameless, earn their living scuppering the efforts of competing brands in the digital marketplace. Black Hat marketing is real – and it can do real damage to your business. We explain what it is and, more importantly, give you some practical steps you can take to help protect your business against it.

It took television 22 years to reach 50 million households – it took the internet just five to achieve the same level of penetration. Things are progressing at an unbelievable rate, and we’re approaching a pivotal point in marketing history – a time when digital marketing will overtake traditional mass media as the medium of choice for reaching the consumer of tomorrow.

In the summer of 1993 I interviewed Jerry Reitman, head of direct marketing for Leo Burnett in Chicago, for my magazine *goDirect*. During our conversation Jerry pointed at the computer on his desk and said: ‘And that... that’s where it’s going.’ I wondered what he was talking about.

Fifteen years on and practically the entire population is online. Consumers have grown tired of mass media marketing and are turning instead to the internet. They want more engagement, more interaction. They’re starting to spend most of their leisure time in a digital world, and creative digital marketing is the way your business will reach them.

Welcome to my world...

Damian Ryan